

Check Your Progress 2

- 1) Refer to Section 7.5 and answer.
- 2) The Lucas supply curve relies on a price surprise to explain why output deviates from the natural level output. In the absence of perfect information economic agents are not in a position to anticipate future prices and wage rates accurately. They cannot distinguish between increases in nominal vs. real prices due to signal extraction problem. Thus, there is no dichotomy of real and nominal sectors, and money is not neutral in the short run. Refer to Section 7.6.
- 3) The policy ineffectiveness theorem focuses on the demand side to explain deviations of output from the natural level of output, which is explained by price surprises caused by the non-anticipatable portion of money change. The model consists of an aggregate demand relation, aggregate supply relation and a money supply rule, along with an equation capturing rational expectations. Use Fig. 7.2 and Fig. 7.3 to show the effect of increasing money supply. Use equations (7.7), (7.8), (7.9) and (7.10) to derive equations (7.15) and (7.16). Refer to Section 7.7.